

9] Let X_{pijt} denote the quantity of product p shipped from warehouse i to store j on day t , where

$$p = 1, \dots, 2$$

$$i = 1, \dots, 3$$

$$j = 1, \dots, 4$$

$$t = 1, \dots, 7$$

a) State the order and dimensions of the tensor X . How many scalar entries does it contain?

$\Rightarrow$ The order (rank) of the tensor X is 4, indexed by the 4 independent variables p, i, j, t .

$\Rightarrow$ The dimensions are $2 \times 3 \times 4 \times 7$!

$$\text{Total entries: } 2 \cdot 3 \cdot 4 \cdot 7 = 168$$

b) Define

$$Y_{ij} = \sum_{p=1}^2 \sum_{t=1}^7 X_{pij,t}.$$

What are the dimensions of Y , and what does Y_{ij} mean?

$\Rightarrow$ Y_{ij} is a new rank 2 matrix obtained by collapsing (summing) dimension p (products) and dimension t (days).

$$\text{Dimensions: } 3 \times 4$$

$\Rightarrow$ Y_{ij} means the total cumulative volume of all products combined, shipped from warehouse i to store j across the entire 7-day week.

c) For store $j=2$, define a product demand vector

$$d_p = \sum_{i=1}^3 \sum_{t=1}^7 X_{pi2,t}.$$

What is the dimension of d_1 , and what does each component mean?

Dimension: 2×1

$$d_p = \begin{bmatrix} d_1 \\ d_2 \end{bmatrix}$$

$d_1 \rightarrow$ the total quantity of product 1 delivered to store 2 from all warehouses across all days in the week.

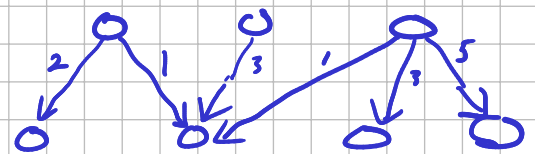
d) For fixed $p=1$ and $t=3$, explain what the matrix X_{1ij3} represents.

$\Rightarrow$ This is a 2D slice of the 4-th order tensor. It represents the complete network of warehouse - to - store distribution for product 1 on day 3 of the week.

* This can be seen as a snapshot in time for one product (p_1) in a graph that changes every day.

Day 3
Product 1

i (warehouses)
j (stores)



13 Every night, stock is redistributed between 2 hubs according to:

$$X_{k+1} = AX_k, \quad A = \begin{bmatrix} 0.7 & 0.2 \\ 0.3 & 0.8 \end{bmatrix}.$$

Columns represent source hubs, rows represent target hubs.

a) Verify that the columns of A sum to 1. What does this imply operationally?

$$\Rightarrow \text{Column 1: } 0.7 + 0.3 = 1.0 \quad \checkmark$$

$$\text{Column 2: } 0.2 + 0.8 = 1.0 \quad \checkmark$$

What does this imply?

$\Rightarrow$ Because the columns sum to 1, the matrix A is called a **Column-stochastic** matrix.

This implies a total conservation of stock across all nights.

- No accounting for lost/damaged stock
- The total stock between hubs 1 and 2 will be constant from night k to night $k+1$.

b) Compute the characteristic polynomial

$$\det(A - \lambda I)$$

and determine the eigenvalues.

$\Rightarrow$ For matrix A , the characteristic polynomial is

$$\det \left(\begin{bmatrix} 0.7 & 0.2 \\ 0.3 & 0.8 \end{bmatrix} - \begin{bmatrix} \lambda & 0 \\ 0 & \lambda \end{bmatrix} \right)$$

$$= \det \begin{pmatrix} 0.7 - \lambda & 0.2 \\ 0.3 & 0.8 - \lambda \end{pmatrix} = (0.7 - \lambda)(0.8 - \lambda) - (0.3 \times 0.2)$$

$$= 0.56 - 0.7\lambda - 0.8\lambda - \lambda^2 - 0.6 = \lambda^2 - 1.5\lambda + 0.5$$

Eigenvalues are calculated by setting this to zero.

$$\lambda^2 - 1.5\lambda + 0.5 = 0$$

$$\frac{-b \pm \sqrt{b^2 - 4ac}}{2a}$$

$$\Rightarrow \frac{1.5 \pm \sqrt{(1.5)^2 - 4(1)(0.5)}}{2} = \frac{1.5 \pm \sqrt{2.25 - 2}}{2}$$

$$= \frac{1.5 \pm \sqrt{0.25}}{2} = \frac{1.5}{2} \pm \frac{0.5}{2}$$

$$= 0.75 \pm 0.25$$

$$\Rightarrow \lambda_1 = 1 \quad \lambda_2 = 0.5$$

c) Compute one right eigenvector for each eigenvalue

$\Rightarrow$ We must solve $(A - \lambda I)\vec{v} = \vec{0}$ for each eigenvalue.

λ_1 :

$$\begin{bmatrix} 0.7 - 1 & 0.2 \\ 0.3 & 0.8 - 1 \end{bmatrix} \begin{bmatrix} v_1 \\ v_2 \end{bmatrix} = \begin{bmatrix} 0 \\ 0 \end{bmatrix}$$

$$\begin{bmatrix} -0.3 & 0.2 \\ 0.3 & -0.2 \end{bmatrix} \begin{bmatrix} v_1 \\ v_2 \end{bmatrix} = \begin{bmatrix} 0 \\ 0 \end{bmatrix}$$

$$(1) \quad -0.3v_1 + 0.2v_2 = 0$$

$$(2) \quad 0.3v_1 - 0.2v_2 = 0$$

$$\text{From (1): } 0.3v_1 = 0.2v_2 \Rightarrow v_1 = \frac{0.2}{0.3} v_2$$

$$v_1 = \frac{2}{3} v_2$$

$\Rightarrow$ Choose $v_2 = 3$, that gives $v_1 = 2$

$$\vec{v}_1 = \begin{bmatrix} 2 \\ 3 \end{bmatrix}$$

$$\lambda_2: \begin{bmatrix} 0.7-0.5 & 0.2 \\ 0.3 & 0.8-0.5 \end{bmatrix} \begin{bmatrix} v_1 \\ v_2 \end{bmatrix} = \begin{bmatrix} 0 \\ 0 \end{bmatrix}$$

$$\Rightarrow \begin{bmatrix} 0.2 & 0.2 \\ 0.3 & 0.3 \end{bmatrix} \begin{bmatrix} v_1 \\ v_2 \end{bmatrix} = \begin{bmatrix} 0 \\ 0 \end{bmatrix}$$

$$(1) \quad 0.2 v_1 + 0.2 v_2 = 0 \quad \Rightarrow \quad v_1 = -v_2$$

$$(2) \quad 0.3 v_1 + 0.3 v_2 = 0$$

$$\Rightarrow \text{We choose } v_1 = -1 \Rightarrow v_2 = 1$$

$$\vec{v}_2 = \begin{bmatrix} -1 \\ 1 \end{bmatrix}$$

d) Interpret the eigenvector corresponding to $\lambda_1 = 1$, and the eigenvector corresponding to the smaller eigenvalue: $\lambda_2 = 0.5$.

$\Rightarrow$ The eigenvector corresponding to λ_1 is

$$\vec{v}_1 = \begin{bmatrix} 2 \\ 3 \end{bmatrix},$$

which is the **steady-state** equilibrium of the system.

Because $\lambda_1 = 1$, any inventory in the ratio 2/3 is preserved over all nights.

$$A \vec{v}_1 = (1) \vec{v}_1.$$

$\Rightarrow$ Eigenvector $\vec{v}_2 = \begin{bmatrix} -1 \\ 1 \end{bmatrix}$, $\lambda_2 = 0.5$.

This represents a **transient imbalance**.

Because $\lambda_2 = 0.5$, the imbalance shrinks by half every night, eventually vanishing.

* Note: Decomposing the initial state

A sequence of nights:

$$k=0: \quad X_{k+1} = AX_k \quad \Rightarrow \quad X_1 = AX_0$$

$$k=1: \quad X_2 = AX_1 = A(AX_0) = A^2X_0$$

$$k=2: \quad X_3 = AX_2 = A(A)(AX_1) = A^3X_0$$

$$X_k = A^k X_0$$

We can see x as a vector of vehicles transporting stock between hubs.

The initial state x_0 can be written as a linear combination of our 2 eigenvectors.

$$X_0 = c_1 \vec{v}_1 + c_2 \vec{v}_2 = c_1 \begin{pmatrix} 2 \\ 3 \end{pmatrix} + c_2 \begin{pmatrix} -1 \\ 1 \end{pmatrix}$$

$\Rightarrow$ If we let the system run for k nights, we get

$$X_k = A^k X_0 = c_1 A^k \vec{v}_1 + c_2 A^k \vec{v}_2$$

* But we know that $A\vec{v} = \lambda \vec{v}$, so:

$$X_k = c_1 (\lambda_1)^k \vec{v}_1 + c_2 (\lambda_2)^k \vec{v}_2$$

$$X_k = c_1 (1)^k \vec{v}_1 + c_2 (0.5)^k \vec{v}_2$$

$$X_k = c_1 (1)^k \begin{pmatrix} 2 \\ 3 \end{pmatrix} + c_2 (0.5)^k \begin{pmatrix} -1 \\ 1 \end{pmatrix}$$

Steady

When $k \rightarrow \infty$ This $\rightarrow 0$
Transient!